BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Company d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 19-G-0309 & 19-G-0310

August 2019

Prepared Testimony of:

Staff Rates Panel

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Q. Members of the Department of Public Service Staff (Staff) Rates Panel (Panel), please state your names, employer and business address.

A. Our names are Scott McAdoo, Jennifer Park, Mingdi Huang, and John Vecchio. We are employed by the New York State Department of Public Service (Department). Our business address is Three Empire State Plaza, Albany, New York 12223-1350.

Q. Mr. McAdoo, what is your position in the Department?

A. I am an Assistant Engineer in the Office of Electric, Gas and Water in the Gas and Water Rates and Supply Section.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from the State University of New York at Canton in 2009 with an associate degree in Engineering Science. In 2011, I graduated from Clarkson University with a bachelor’s degree in Chemical Engineering. After Clarkson, I worked for B&W Fluid Dynamics conducting precommissioning/cleaning phases for construction projects. After working for B&W

Fluid Dynamics, I received a master's degree from the State University of New York Colleges of Nanoscale Science and Engineering in 2015. I joined the Department in 2016 as a Junior Engineer.

Q. Please describe your duties in the Gas and Water Rates and Supply Section.

A. My duties have been focused on several aspects of utility ratemaking including customer and volumetric forecasting, rate design, revenue allocation, sales price outs, capital expenditures (CapEx) review, depreciation review, gas adjustment clause (GAC) reconciliations, merchant function charges (MFC), escrow account review and small water rate cases.

Q. Have you previously provided testimony in cases before the Public Service Commission (Commission)?

A. Yes. I have previously provided testimony in Cases 16-G-0257, 17-G-0239, 17-W-0528, 18-G-0133 and 19-W-0168.

Q. Ms. Park, are you the same Jennifer Park testifying as part of Staff Gas Supply Panel?

A. Yes. I provide my credentials in that Panel's testimony.

Q. Mr. Huang, what is your position at the Department?

A. I am a Utility Engineering Specialist 1 in the Gas and Water Rates and Supply Section of the Office of Electric, Gas and Water.

Q. Please briefly describe your educational background and professional experience.

A. I graduated from Cornell University in 2010 with a Bachelor of Science degree in mechanical engineering. I then attended Rensselaer Polytechnic Institute and graduated in 2015 with a Ph.D. in mechanical engineering.

Q. What are your responsibilities and duties in the Gas and Water Rates and Supply Section?

A. My duties involve the engineering analysis of utility operations as they relate to the ratemaking process, as well as participating in various reviews of local distribution companies' activities.

Q. Mr. Huang, have you previously testified before the Commission?

A. No.

Q. Mr. Vecchio, what is your position at the Department?

A. I am a Utility Engineering Specialist 1 and work in the Gas and Water Rates and Supply section in the Office of Electric, Gas, and Water.

Q. Please summarize your educational and professional background.

A. I graduated from Alfred University in May 2018 with a Bachelor of Science Degree in Mechanical Engineering. In March 2019, I joined the Department in the Office of Electric, Gas and Water.

Q. What are your responsibilities and duties in the Gas and Water Rates and Supply Section?

A. My duties involve the engineering analysis of utility operations as they relate to the ratemaking process, as well as participating in various reviews of local distribution companies' activities.

Q. Mr. Vecchio, have you previously testified before the Commission?

A. No.

Summary of the Testimony

Q. What is the purpose of the Panel's testimony in this proceeding?

A. Our testimony will address The Brooklyn Union Gas Company d/b/a National Grid NY's (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid's (KEDLI) (collectively, the Companies) rate proposals for the Rate Year. We will discuss the following: (1) the Northeast Supply Enhancement Project (NESE); (2) the sales forecast in terms of meter counts and use-per-customer; (3) the gas delivery revenues at current rates for the Rate Year; (4) the other revenues; (5) depreciation expense; (6) the cost studies which support revenue allocation, rate design, and unbundled rates for competitive services; (7) the revenue allocation; (8) the Merchant Function Charge (MFC); (9) the rate design, including the interruptible (IT) rates; (10) the bill impacts of our recommended rates; (11) the Revenue Decoupling Mechanism (RDM); (12) the Lost And Unaccounted For (LAUF) gas targets; (13) the Paperless Billing Credit; (14) the recovery of Earnings Adjustment Mechanisms

(EAM) incentives; (15) the System Benefits Charge (SBC); (16) Green Gas Tariff Costs; (17) Tariff Fees; and, (18) Tariff Provisions.

Q. What are the Rate Year and the Historic Test Year in these proceedings?

A. The Rate Year is the twelve months ending March 31, 2021. The Historic Test Year is the 12 months ending December 31, 2018.

Q. Please summarize your recommendations.

A. We recommend that: (1) the Companies update their raw billing system normalization; (2) the amortization period for the leak-prone pipe (LPP) be 30 years rather than the Companies' requested 20 years, and the use of a use a four-year band instead of a three-year band to calculate net salvage; (3) the revenue allocation and rate design be updated to reflect our methodology to incent conservation; (3) the Companies LAUF calculations be updated to follow the Staff Whitepaper; (4) KEDLI's LAUF gas calculation be updated to exclude data from 2014; (5) inactive accounts be excluded from the LAUF calculations; and (6) the Companies update the paperless billing credit in Briefs on

Exceptions.

Q. In your testimony, will you refer to, or otherwise rely upon any information obtained during the discovery phase of this proceeding?

A. Yes, our testimony will refer to and otherwise rely upon Company responses to Staff's Information Requests (IRs). These responses are contained in Exhibit___(SRP-1). We will refer to these responses by the designation given when sent, e.g., DPS-123.

Q. Are you sponsoring any other exhibits?

A. Yes. We are sponsoring seven additional exhibits:

- Exhibit___(SRP-2) contains our bill frequency analysis;
- Exhibit___(SRP-3) contains our revenue price-outs;
- Exhibit___(SRP-4) contains our annual LPP depreciation accruals;
- Exhibit___(SRP-5) contains our revenue allocations;
- Exhibit___(SRP-6) contains our rate designs;
- Exhibit___(SRP-7) contains our calculated bill impacts;

- Exhibit ___(SRP-8) contains Staff's LAUF Gas Whitepaper;
- Exhibit___(SRP-9) contains LAUF gas calculations and graphs; and,
- Exhibit___(SRP-10) contains the proposed inactive accounts calculation methodology.

Northeast Supply Enhancement Project

Q. Did the Companies assume the Transcontinental Gas Pipe Line LLC's Northeast Supply Enhancement (NESE) project will be built when they filed the instant cases?

A. Yes.

Q. Has the Staff Policy Panel informed this Panel that your review should assume that the NESE Project will not be built during the Rate Year?

A. Yes.

Customer and UPC Forecasts

Q. Did the Companies divide their sales forecast into separate geographic areas?

A. Yes, the Companies provided two forecasts, one covering KEDNY and one covering KEDLI.

Q. Summarize the method the Companies used to

perform their forecasts.

A. With reference to the response to IR DPS-608, the Companies used version 3.5.3 of the "R" statistical software package to perform their forecasting. The Companies aggregated similar service classes (SCs) for both KEDNY and KEDLI into six forecasting groups: Residential Heating, Residential Non-Heating, Commercial, Multi-Family, Temperature-Controlled, and Other. The Companies used a script for each forecast that guides the user throughout the selection of econometric variables and coefficients by calculating their correlation with historic data. Having determined the relationship between the various econometric variables and each of the six forecasting groups' customer count and use-per-customer, the Companies used forecasted econometric data from Moody's economy.com, the U.S. Department of Energy, the Energy Information Administration, the National Oceanic and Atmospheric Administration, and the National Weather Service to forecast the customer count and use-per-customer, and subsequently the volumetric usage, for each of

its six groups. The Companies then allocated their forecasted numbers to the rate codes in each group by using either the proportional ratio of the last historic data point for the customer count, or the monthly proportional ratios for the last historic year for the usage. The Companies then aggregated the rate codes to their respective service classes.

Q. What do the Companies mean by customer count, specifically?

A. The customer count is the number of active and flowing meters.

Q. How did the Companies take energy efficiency programs into account in their volumetric forecasts?

A. The historic data used were actual sales data, which reflect the effects of energy efficiency programs. The forecasts thus also included the continuing trends of energy efficiency programs in the future.

Q. What was the purpose of aggregating the service classes into groups?

A. By aggregating the classes into groups, one can create data sets large enough for statistical

modeling, while also smoothing out any dependence on factors that do not affect all the classes in the group.

Q. How did the Companies reflect the possibility of the NESE project not being available during the Rate Year, and the impact to their volumetric forecasts in their Supplemental testimony?

A. The Companies forecast that, after they fulfill all current outstanding requests for firm service by April 2020, there will be no further customer growth. In addition, referring to the response to IR DPS-714, the Companies also forecast that there will be no firm customer decrease or any changes in use-per-customer under the scenario assuming the NESE Project is not built during the Rate Year.

Q. Have the Companies stopped adding new customers?

A. The Companies have stopped accepting applications for new firm gas customers in Brooklyn, Queens and Long Island as of May 15, 2019, and anticipate that, after fulfilling all outstanding requests between May 2019 and April 2020, there will be no further customer growth. The Companies did not adjust their non-firm

forecasts as they had no information that would help forecast how customers might react when new firm service is not available.

Q. What adjustments did the Companies make to their forecasts in the Corrections & Updates filing?

A. The Companies updated their original forecasts to include the actual data from February 2018 to February 2019, which they did not include in their original forecasts.

Q. What were the impacts of the adjusted forecasts?

A. Referring to Exhibit___(RDP-2) and Exhibit___(RDP-2CU) for both KEDNY and KEDLI, the adjusted forecasts predicted, for KEDNY, an increase in the gas sales forecast from 1,658 million total therms to 1,689 million total therms and an increase from an average of 1,268,772 customers to an average of 1,270,948 customers forecasted in the Rate Year. For KEDLI, the forecast predicted a decrease in the gas sales forecast from 1,885 million total therms to 1,869 million total therms and an increase from an average of 608,718 customers to an average of 611,148 customers forecasted in the Rate Year.

Q. Did the Corrections & Update filing include the adjustments reflecting the NESE Project not being built during the Rate Year, as identified in the Companies' Supplemental testimony?

A. No.

Q. Did the Panel review the Companies' customer and volumetric forecasts for each filing?

A. Yes. We reviewed the forecasts filed in the original filings, the Supplemental filings, and the Corrections & Updates filings. We also reviewed the forecasts included as an attachment to the response to IR DPS-798 that updated the Corrections & Updates forecasts to reflect the NESE Project not being built during the Rate Year.

Q. Does the Panel have any adjustments to the Companies' forecasts that assume the NESE Project will not be built during the Rate Year?

A. No. We believe the Companies' forecasts included as an attachment to the response to IR DPS-798 are reasonable.

Q. Under the scenario where the NESE Project is built during the Rate Year, does the Panel have any adjustments to the Companies' Corrections &

Updates forecasts?

A. No.

Rate Year Revenues at Current Rates

Q. Please describe how the Companies developed their forecast of the base delivery revenues for the Rate Year.

A. For all firm sales SCs, the Companies developed base delivery revenue forecasts using the forecast customer counts and volumetric deliveries. For firm SCs that have multiple block rates, delivery volumes were allocated to the usage blocks within each service class by aggregating rate codes using an ogive analysis.

Q. Did the Panel review the Companies' process to determine if it was reasonable?

A. Yes, but we used a different approach and priced out using SCs rather than using rate codes.

Q. Why did the Panel group deliveries by SCs rather than by rate codes?

A. We grouped deliveries by SCs because it is a more efficient way to forecast as there are significantly less SCs than rate codes. We do not believe that forecasting sales by rate codes

would achieve any significant increase in accuracy.

Q. What is an ogive analysis?

A. An ogive analysis uses historic bill frequencies to develop a cumulative percentage distribution for usage levels within a rate code. This cumulative distribution is then used to allocate the forecast deliveries into the usage blocks for each rate code, after which the deliveries can be priced at the applicable rate for the particular rate block.

Q. Did the Companies provide the raw billing system data used in the ogive analysis?

A. Yes. The Companies provided the raw billing system data in response to IR DPS-440.

Q. Does the Panel have any concerns about the Companies' ogive analysis?

A. Yes. The normalization of the raw billing data does not accurately account for canceled bills and re-bills. According to the response to IR DPS-760, the Companies only remove negative values from the block reports that would result in a negative block step. The Companies did not account for canceled bills or re-bills that

increased the usage in a block step beyond the maximum or minimum amount that could possibly be in the block step.

Q. Please explain.

A. For example, a block step from a usage of one therm to two therms with 100 customers ending their usage in the block would have a minimum usage allocated to the block of 100 therms and a maximum allocation of 200 therms. We provide our analysis of the normalization of the raw billing system data for KEDNY and KEDLI SC No. 1A, Residential Non-Heating using the Companies' methodology of removing negative step volumes, in Exhibit__(SRP-2). We noticed that the usage allocation exceeded the maximum or minimum possible block usage. Then we calculated the absolute value of the volumes that exceeded the maximum or minimum allocations of the blocks to determine the percentage of volumes, compared to the total billing data in each historic calendar year 2018 month, which was not allocated properly. The KEDNY SC No. 1A usage allocation, compared to the total usage, had from 0.14 percent incorrectly allocated in May 2018 to

2.98 percent incorrectly allocated in June 2018. The KEDLI SC No. 1A usage allocation, compared to total usage, had from 0.03 percent incorrectly allocated in August 2018 to 1.24 percent incorrectly allocated in October 2018.

Q. Does the Panel have any recommendations regarding the Companies' ogive calculations?

A. Yes. We recommend that the Companies revise their ogive calculations to account for canceled bills and re-bills. At a minimum, this can be done by ensuring that the allocation to each block step is not above the maximum possible or below the minimum possible allocation.

Q. What does it mean to price-out a sales forecast?

A. The price-out calculates the amount of base delivery revenue for each SC or rate code at certain rates.

Q. Did the Panel price-out the Companies' sales forecasts?

A. Yes.

Q. Did the Panel's sales forecast price-outs corroborate the Companies' price-outs?

A. No. Our price-outs used the updated sales forecasts without the NESE Project being

available during the Rate Year, which the Companies provided in response to IR DPS-798. The Companies did not provide updated price-outs to reflect the latest sales forecast without the NESE Project, as stated in the response to IR DPS-936, because they are optimistic that the NESE Project will be in service by the winter of 2020/2021.

Q. Do you agree that the Companies' price-out should be used?

A. No. We recommend using our price-out, which we provide in Exhibit___(SRP-3), because it reflects the most updated sales forecast without the NESE Project being in service during the Rate Year.

Other Revenues

Q. Did the Panel review the Companies' other revenues?

A. We reviewed the Late Payment Charges (LPC) and Billing Service Fee revenues and updated the revenues in our price-out, as set forth in Exhibit___(SRP-3).

Q. How did the Panel calculate the LPC and Billing

Service Fee revenues?

A. We calculated the LPC revenues and billing service fee revenues by following the Companies methodology. The Companies calculated the LPC revenues by multiplying the total Rate Year revenues by the ratio of the Historic Test Year LPC revenues to the Historic Test Year total revenues provided in the responses to IRs DPS-272 and DPS-273 for KEDLI and KEDNY, respectively. The Companies calculated the billing service fee by multiplying the average number of customers in the Rate Year by twelve to get the number of bills. Then, the Companies multiplied the number of bills by the Billing & Payment Processing fee to get the billing service fee revenues.

Depreciation

Q. Please explain what “depreciation” is, as it is used in ratemaking.

A. Depreciation is a method of recovering capital cost, less net salvage, related to plant in service over the plant’s expected useful life.

Q. What is a depreciation rate and expense?

A. A depreciation rate is a percentage rate applied to the gross plant in service, by account, to determine the annual depreciation expense. The annual depreciation expense is the amount depreciated in a given year and included in rates for recovery from customers.

Q. Did the Companies file depreciation studies in these proceedings?

A. No. The Companies did not perform a depreciation analysis on the majority of their assets, as the last depreciation studies were filed in Cases 16-G-0058 and 16-G-0059, when the Companies' last sought rate increases. For most of the Companies' assets, circumstances would not have changed in enough of a meaningful way as to affect depreciation rates. However, the Companies have plans to retire of all their leak prone pipe (LPP) assets within the next 20 years and propose to reflect this in their depreciation rates.

Q. What assets do the Companies consider LPP?

A. The Companies consider all mains 12 inches or less in diameter that are unprotected steel pipe, cast and wrought iron pipe, and Alydl-A

plastic pipe to be LPP. The Companies also consider bare steel, wrought iron, copper, Alydl-A, and some high-density polyethylene plastic services to be LPP.

Q. What deprecation factors did the Companies propose to modify?

A. The Companies proposed to modify the LPP accrual rates and the LPP net salvage rates. Together, these two factors increased the proposed annual depreciation expense by approximately $27.5 million and $24.5 million for KEDNY and KEDLI, respectively.

Q. Over what period did the Companies propose to recover the LPP costs?

A. The Companies proposed to recover the costs of their LPP assets over 20 years.

Q. How did the Companies develop this proposed LPP amortization period?

A. The Companies claim that a 20-year period is reasonable because the Companies are proceeding with a program to retire and replace the LPP assets on an accelerated schedule over the next 20 years. The Companies propose to fully depreciate the LPP accounts in 20-years so that

customers currently benefiting from the use of the pipe are responsible for its cost.

Q. How did the Companies develop their net salvage recommendations?

A. The Companies' consultant created databases that utilized the Companies' vintage survivors by LPP account as of December 31, 2018. KEDNY and KEDLI also provided the cost of removal, annual retirements, annual mileage of retirements, and annual number of services histories for the most recent seven years (2012-2018) to develop net salvage for the LPP accounts, as shown in Exhibit___(PMN-4).

Q. After reviewing the seven years of data, why did the Companies select a three-year period for the development of their net salvage proposal?

A. The Companies' consultant stated that KEDNY and KEDLI began their program of retiring/replacing LPP on an accelerated basis in 2015. Because the primary costs incurred in connection with the program are labor-related, the most recent three-year period was deemed to be most representative of the costs that are likely to be incurred in connection with future retirement

efforts for these plant assets.

Q. Did the Companies prepare any actuarial analyses to assist in the life estimation process?

A. No. The Companies' consultant did not analyze each account with respect to rolling and shrinking bands because the Companies are proposing a 20-year amortization of all LPP assets.

Q. Does the Panel agree with the Companies' proposal?

A. Not entirely. We agree that the depreciation accrual rates and associated net salvage should be accelerated, but we recommend a 30-year amortization period and net salvage based on a four-year average.

Q. Please explain.

A. Ultimately, we are concerned with the potential impact the amortization proposal has on customers' bills. While we agree that it is appropriate to begin the amortization process, we recommend phasing in the amortization. Additionally, though we are concerned about the bill impacts, we are making the same recommendations for both KEDNY and KEDLI for

consistency.

Q. Why does the Panel recommend the LPP assets be depreciated over 30-years?

A. One of the principles of depreciation is that it is more equitable to have the customers that benefit from plant bear the cost of that plant. However, the reason these LPP assets are being replaced early is due to safety and reliability concerns. The Panel, therefore, finds it equitable that current and future customers share the cost responsibility, even if they did not benefit directly from the replaced LPP assets themselves.

Q. What does the Panel propose with regards to net salvage?

A. The Companies proposed using a three-year band to reflect the most recent pipe retirement costs as the most representative of the future costs the Companies will incur as they replace their LPP assets. Referring to the response to IR DPS-611, though it is true that the total cost to retire LPP in New York City increased significantly in 2018, there is not yet enough evidence to believe that the costs to retire in

2018 are necessarily representative of future costs, and a three-year band would only overly emphasize the 2018 costs if it were an outlier. Referring to Exhibit___(PMN-4), pg. 2, the cost to retire per mile retired can vary significantly year-to-year within accounts; for example, for KEDNY Account 376.05 Mains – Cast Iron, the cost to retire per mile was $293,280 in 2018, $75,395 in 2017, $1,725,960 in 2016, and $14,652 in 2015. For KEDLI Account 376.18 Mains – Plastic, the cost to retire per mile was $71,364 in 2018, $17,807,549 in 2017, $688,636 in 2016, and $1,892,937 in 2015. The high annual variability in cost to retire per mile makes it difficult to regard the average of an overly narrow band of years as meaningful. Accordingly, we recommend using a four-year band instead, which, in addition to mitigating the effects of any outlier years, would also have the benefit of capturing all activity related to the LPP Acceleration Program, which started in 2015 from the Order Instituting Proceeding for a Recovery Mechanism to Accelerate the Replacement of Leak Prone Pipe, issued on April 17, 2015 in

Case 15-G-0151.

Q. What is the impact of the Panel's recommendations?

A. Our recommendations to use a four-year band for net salvage and an amortization period of 30 years would decrease the Companies' proposal by approximately $14.6 million and $10.6 million for KEDNY and KEDLI, respectively. We present our recommended annual depreciation accruals in Exhibit___(SRP-4).

Cost of Service Study

Q. Did the Companies file a cost of service study in these proceedings?

A. Yes. The Companies both filed a Pro Forma ECOS study and a Marginal Cost of Service study.

Q. Please briefly explain how the Companies' prepared the ECOS studies.

A. The Companies prepared the ECOS studies by analyzing each element of the utility's revenue requirement and assigning it to or allocating it among the rate classes. The ECOS studies rely on a specialized model, developed by the HSG Group, Inc., that uses the traditional three-

step process of functionalization, classification, and class allocation.

Q. How did the Companies use the results of the ECOS studies?

A. The Companies used the results of the ECOS studies to guide revenue allocation and rate design, and to establish components of the Merchant Function Charge and Billing Charge.

Q. Does the Panel agree with the Companies' use the ECOS studies results?

A. Partially. We would prefer the Companies use a historical ECOS study to guide the revenue allocation process. A pro-forma study is forward looking and can introduce additional errors in the results. It is more appropriate to use the historic cost of service studies to guide revenue allocation, unless very large changes in utility operations are projected. We used the results of the historic ECOS studies provided in the response to IR DPS-504 to guide our revenue allocation and rate design process.

Revenue Allocation

Q. Please describe the Companies' revenue allocation methodology.

A. The Companies stated that they considered the costs to provide the type and quality of service required by each SC, as determined in the ECOS studies, while considering impacts to customers. The Companies used a 25 percent tolerance band to allocate the revenue increases, in order to avoid minor disputes regarding the ECOS studies.

Q. What percentage increase did KEDNY allocate to each service class?

A. KEDNY allocated an increase of: 13.11 percent to SC No. 1B – Residential Heating , which has a return within the tolerance band; 3.29 percent to each of SCs No. 2-1 Non-Residential Non-Heating, No. 4A-HLF High Load Factor, No. 4A-CNG Compressed Natural Gas and No. 4B Year-Round Air Conditioning, which have returns above the tolerance band; 18.57 percent to each of SCs No. 1A, SC No. 1B-DG Residential Distributed Generation, No. 2-2 Non-Residential Heating, No. 3 Multi Family, SC No. 7 Seasonal Off-Peak and No. 21 Baseload Distributed Generation, which

have returns below the tolerance band. In addition, KEDNY allocated a decrease of 2.5 percent to the new combined non-firm demand response customers (IT) service classes, SCs No. 22 and No. 18-22.

Q. What percentage increase did KEDLI allocate to each service class?

A. KEDLI allocated an increase of: 6.38 percent to SC No. 1B Residential Heating, which has a return within the tolerance band, but below the average return; 6.09 percent to SCs No. 2B Non-Residential Heating, No. 3B Multi Family Heating and No. 16 Year-Round Space Conditioning, which have returns within the tolerance band, but above the average return; 3.93 percent to SCs No. 2A Non-Residential Non-Heating, No. 3A Multi Family Non-Heating, the new combined IT service classes, No. 18 and No. 19 which have returns above the tolerance band; 12.46 percent to SCs No. 1A and No. 1DG Residential Distributed Generation, which have returns below the tolerance band. KEDLI allocated a reduction of 36 percent to SC No. 9-NGV Natural Gas Vehicles, as this SC has a return that is higher than any

of the other service classes and KEDLI is attempting to promote this energy efficient technology.

Q. How does the Panel recommend the incremental revenue requirement be allocated in these proceedings?

A. We recommend that the historic ECOS studies provided in response to IR DPS-504 be used to allocate revenues based off the relative return for each service class. We agree with using the Companies' 25 percent tolerance band because it will avoid minor disputes with the ECOS studies. Additionally, we allocate classes with a return above the tolerance band 20 percent less of the revenue increase, or 20 percent more of a revenue decrease for KEDNY and KEDLI, respectively. We also allocate classes with a return below the tolerance band 20 percent higher increase or 20 percent less of a revenue decrease for KEDNY and KEDLI, respectively. Our revenue allocation to the firm service classifications at Staff's recommended revenue requirement is presented in Exhibit___(SRP-5).

Q. Did the Panel make any adjustments before

allocating the incremental revenue requirement?

A. Yes. We use the LPC percentage provided in the responses to IRs DPS-272 and DPS-273 for KEDLI and KEDNY, respectively, to calculate the LPC revenues.

Q. Does the Panel agree with the Companies proposal to move the Energy Efficiency Surcharge and the tax credit into base rates?

A. Yes.

Q. How did the Panel allocate the Energy Efficiency Surcharge and tax credit revenue?

A. As shown in Exhibit___(SRP-5), we subtract the total Energy Efficiency Surcharge and tax credit revenues from the incremental revenue requirement because each class is not allocated an equal percentage increase of the Energy Efficiency Surcharge and tax credit. We allocate the Energy Efficiency Surcharge and tax credit revenues based on the price-outs provided in Exhibit___(SRP-3). Additionally, the Staff Efficiency and Sustainability Panel recommends that the ETIP budget be set at the level in the Corrections and Updates testimony of the Future of Heat Panel. We allocate the ETIP budget

based on the current allocation provided in the response to IR DPS-504.

Merchant Function Charge

Q. Please describe the Companies' proposed Merchant Function Charges (MFCs).

A. The Companies' current MFCs are designed to recover certain expenses associated with providing gas procurement functions. For firm sales customers, the MFC recovers the costs associated with gas supply procurement, commodity-related credit and collection expenses, commodity-related uncollectible expenses, the return requirement on gas storage inventory, and commodity related working capital expenses. For transportation customers, the MFC recovers the return requirement on gas storage inventory that the Companies manage on their behalf. For IT sales customers, the MFC recovers the costs associated with gas supply procurement, commodity related credit and collection expenses, commodity-related uncollectible expenses and return requirement on gas purchase-related uncollectible expenses and

return requirement on gas purchase-related working capital. For ESCOs participating in the Companies' Purchase of Receivables programs, the MFC recovers commodity-related uncollectible costs and credit and collection expenses.

Q. To which SCs do the MFCs apply?

A. For KEDNY, the MFC applies to: customers who take firm sales service under SC Nos. 1, 2, 3, 4A, 4A-CNG, 4B, 7, 21; customers who take transportation Service; IT sales customers; and ESCOs that participate in the Companies' Purchase of Receivables program. For KEDLI, the MFC applies to customers who take firm sales service under SC Nos. 1, 2, 3, 15, 16, and 17; customers who take transportation service under SC 5; IT sales customers; and ESCOs that participate in the Company's Purchase of Receivables program.

Q. Did the Companies propose to modify their MFCs?

A. Yes. The Companies' Rates Panels explained that they propose to modify the MFCs by: (1) changing the reconciliation period to match the GAC year to align with the Companies' Annual Cost of Gas reconciliation; and (2) updating the MFCs to

reflect the proposed targets from the Cost of Service studies.

Q. Does the Panel agree with the Companies' proposed changes to the MFCs?

A. We agree to changing the reconciliation period to match the GAC year to align with the Companies' Annual Cost of Gas reconciliation. Because the Companies use pro-forma ECOS studies, the MFC should be updated based on the overall revenue requirements granted by the Commission. Furthermore, we recommend that the Companies update their MFC targets for the uncollectible rates and pre-tax weighted average cost of capital (WACC) set by Commission order in these proceedings. Finally, we recommend updating the cost of gas to reflect Staff's assumption that the NESE Project will not be available in the Rate Year.

Paperless Billing Credit

Q. What is the Paperless Billing Credit?

A. The Paperless Billing Credit is a credit given to customers who chose to receive paperless bills instead of paper bills. The credit equals

the difference in the cost of a paper bill per customer and the cost of a paperless bill per customer. Currently, the paperless billing credit is $0.49 for KEDNY and $0.35 for KEDLI.

Q. What did the Companies' propose?

A. The Companies proposed to change their credit from $0.49 to $0.44 for KEDNY, and from $0.35 to $0.41 for KEDLI.

Q. How did the Companies' justify the changes?

A. The Companies explained that they propose to adjust the credits to account for inflation from when they were last set through the Rate Year. As the cost of paper bills is an order of magnitude larger than the cost of paperless bills, a percentage increase due to inflation will cause a larger increase in the cost of paper bills, resulting in a net increase in the paperless billing credit.

Q. Explain why KEDNY's paperless billing credit is decreasing if there is supposedly a net increase due to inflation.

A. KEDNY had previously filed a proposed tariff amendment in Case 16-G-0059 to revise its paperless billing credit, which it ultimately

withdrew. This amendment would have reduced the credit from $0.49 to $0.41 to reflect increased costs for paperless billing due to an upgrade to the KEDNY's paperless billing system. Had the amendment not been withdrawn, KEDNY's proposal in the current proceedings would have increased the credit from $0.41 to $0.44.

Q. Does the Panel have any issues with the current proposal in these proceedings?

A. We have no issue with the Companies' methodology, nor with the rates proposed by KEDLI. However, at this time, we do not have enough actual data to confirm KEDNY's proposed rates.

Q. What does the Panel recommend?

A. We recommend waiting until we have a full year of actual billing data on which to assess KEDNY's rates. While the proposed rates seem reasonable, as of the date this testimony is filed, it is based only on four months of data. Consequently, the Panel recommends the approval of KEDLI's rates and asks KEDNY to provide an update in Briefs on Exceptions.

Rate Design

Q. Please describe KEDNY's firm rate design proposals.

A. KEDNY proposed to increase the minimum charges for all firm classes. Further, KEDNY proposed to increase the block rates in a manner to reduce the ratio between the mid-block and tail-block for SC Nos. 1A, 1B and 3. KEDNY proposed to increase the SC Nos. 1B-DG and 7 single block rates to reflect the remaining revenue that was not allocated to the minimum charge. For SC Nos. 2-1 and 4B, KEDNY proposed to increase each of the block rates by approximately the same percentage. The current SC No. 2-2 rates utilize a four-block declining structure with a steep slope meaning that the rate significantly decreases from the second block to the tail block. KEDNY proposed to increase the three SC No. 2-2 block rates such that the ratio of the second block rate to the tail block rate would decrease. For SC Nos. 4A-HLF and 4A-CNG, the two current rate blocks were combined into one block, with a rate equal to the current first block. All SC No. 21-DG minimum charges,

volumetric charges and demand charges were increased by the same percentage.

Q. Please describe KEDLI's firm rate design proposals.

A. KEDLI proposed to increase the minimum charges for all firm classes. For SC No. 1A, KEDLI proposed to increase each of the block rates by approximately the same percentage. For SC No. 1B, KEDLI proposed to increase the mid-block by approximately twice the percentage as the tail-block. KEDLI proposed to increase the SC Nos. 1B-DG and 15 single block rates to reflect the remaining revenue that was not allocated to the minimum charge. The current SC No. 3 and 16 rates utilize a three-block declining structure with a steep slope meaning that the rate significantly decreases from the mid-block to the tail block. For SC Nos. 3 and 16, KEDLI proposed to increase the block rates such that the ratio of the mid-block rate to tail block rate would decrease. For SC No. 2A, which has four rate blocks, KEDLI proposed to increase the tail-block rate by about one percent, increase the third block rate by about three percent, and

increase the second block rate by about six percent. The current SC No. 2B rates utilize a four-block declining structure with a steep slope meaning that the rate significantly decreases from the second block to the tail block. For SC No. 2B, KEDLI proposed to increase the second block rate by about four percent; the tail-block was increased by about four percent and the third block rate was increased by about eight percent. KEDLI proposed to increase the SC No. 9-NGV minimum charge by about 330 percent and reduce the single block rate by about 37 percent. KEDLI proposed to increase all SC No. 17-DG minimum charges, volumetric charges and demand charges by the same percentage.

Inclining Block Study

Q. Did the Companies provide the inclining block study as required by the 2016 Rate Order issued on December 16, 2016 in Cases 16-G-0058 and 16-G-0059?

A. Yes. The Companies provided the results of four rate design scenarios: (1) maintaining the

current ratio tail block rate to mid-block rate, (2) increasing the ratio of tail block rate to mid-block rate by 50 percent, (3) setting the tail block equal to the mid-block, and (4) inclining blocks where the tail block is 25 percent higher than the mid-block.

Q. What were the results of the studies?

A. The Companies found that moving rate design towards inclining blocks would produce bill impacts above the average customer's impact for both low and high usage customers. The average customer's bill would decrease, and the high usage customer's bill would progressively increase with usage. For example, if inclining blocks were used for KEDNY's SC No. 1B, the average customer's bill would decrease by 2.77 percent and a high usage customer's bill would increase by 49.4 percent.

Q. What conclusions did the Companies draw from the studies?

A. The Companies concluded that the bill impacts to customers within a class varied significantly with high and low usage customers receiving substantial increases compared to the average

use customers. The Companies stated that the significant bill impacts to higher and lower usage customers are unacceptable from a ratemaking perspective.

Q. Does the Panel agree with the Companies' conclusions?

A. Yes, however the revenue requirement also plays a large factor in the resulting bill impacts. We agree that the bill impacts would be substantial if any dramatic changes in moving towards inclining blocks were made in this case at the Companies revenue requirement. Due to Staff's overall recommended revenue requirements, we recommend rate design changes that move towards flattening the blocks while sending customers a price signal to reduce gas usage.

Firm Rate Design

Q. Does the Panel agree with the Companies' proposed rate design?

A. We agree with the Companies' proposal to gradually reduce the slope of the currently declining block rates, but we disagree with the

Companies' specific rate design proposals.

Q. Why does the Panel disagree with the Companies' proposed rate design?

A. The revenue requirements provided by the Staff Revenue Requirement Panel are significantly lower than the revenue requirement filed in the Companies' Corrections and Updates filing. Because the revenue requirements are lower, the rate design can be modified to more aggressively flatten the block rates. This will send high usage customers a price signal customers to conserve gas, without the same magnitude bill impacts for high users as shown in the Companies' inclining block rate study.

Q. What rate design does the Panel for KEDNY using the revenue requirement provided by the Staff Revenue Requirement Panel?

A. We recommend that, for SC Nos. 1A, 1B, 2-1, 2-2, 3 and 4B, the minimum charge should remain constant and the tail block and mid-block should increase to effectuate 20 percent movement towards flat block rates. For SC Nos. 1BDG and 7, we recommend holding the minimum charge constant and applying the entire increase to the

single block. We recommend setting the tail block and the first block rates equal to each other for SC Nos. 4 and 4A, as they were already close. Lastly, for SC Nos. 21-1 and 21-3, we recommend equal increases to the minimum charge, winter block rate and summer block rate. Our rate design is included in Exhibit___(SRP-6).

Q. What rate design does the Panel recommend if the revenue requirement for KEDNY increases substantially?

A. We recommend that the following factors be considered if the revenue requirement increases: (1) potentially reducing the movement towards flat block rates to mitigate high user bill impacts, (2) potentially increasing the minimum charges to mitigate bill impacts for average and high users, and (3) allocating the increases to both the minimum charge and the block rate for SC Nos. 1BDG and 7.

Q. What rate design does the Panel recommend for KEDLI using the revenue requirements provided by the Staff Revenue Requirements Panel?

A. For SC Nos. 1A, 1B, 2A, 2B, 3 and 16, we recommend holding the minimum charge constant

and increasing the tail block and/or decreasing the mid-block slightly to make a 20 percent movement towards flat block rates. We recommend applying the entire decrease for SC Nos. 1DG, 9 and 15 to the single block and holding the minimum charge constant. Lastly, for SC Nos. 17 rate 1 and 17 rate 2, we recommend applying equal increases to the minimum charge and the single block for each season. Our rate design is included in Exhibit___(SRP-6).

Q. What rate design does the Panel recommend if the revenue requirement for KEDLI increases substantially?

A. We recommend applying the same factors as we recommended for KEDNY, except if the revenue requirement becomes positive, the increase to SC Nos. 1DG, 9 and 15 may have to be allocated to both the block rate and minimum charge.

Q. Why are the Panel’s rate design recommendations reasonable?

A. Our recommendations are reasonable because our rate design mitigates bill impacts while sending customers appropriate price signals to conserve natural gas.

Interruptible Rate Design

Q. Is it important to have IT customers on the distribution system?

A. Yes. Gas distribution systems are designed to meet firm customers' heating loads at peak periods, which normally occurs mid-winter. Therefore, these systems usually have unused capacity during the remainder of the year. IT customers take advantage of this unused capacity and utilize the gas distribution system during non-peak periods, while agreeing to have their gas service interrupted during periods when the system is constrained.

Q. How should a utility price rates for IT customers?

A. A utility should set IT rates less than firm service rates because the service provided is not a firm service, and the utility does not have to upgrade its distribution system to ensure that it can deliver gas to IT customers during peak periods.

Q. Should IT service be set below the otherwise applicable fully bundled firm service?

A. Yes. IT customers are required to maintain dual

fuel capabilities, and the costs of any alternative fuels should be considered, because such costs are part of the financial calculation such customers must make in deciding if it is worthwhile to take IT service over firm service. From a rate making perspective, any non-firm revenues reduce the firm revenue requirement. Therefore, IT rates should be set at a point between rates that are low enough to make it economically beneficial for customers to choose IT service over firm service, and rates that are high enough to ensure that firm customers are maximizing the financial benefit that IT customers provide. At no time should rates to IT customers be less than the actual costs the utility incurs to serve them.

Q. Do the Companies continue to have IT customers convert to firm service?

A. Yes. According to the response to IR DPS-798, as of February 2016, KEDNY and KEDLI had 3,138 and 200 IT customers, respectively. As of February 2019, KEDNY and KEDLI had 2,569 and 182 IT customers, a reduction of 18 percent and nine percent, respectively. According to the

response to IR DPS-714, the decrease in IT customers has been driven by migration to firm service.

Q. What does the continued migration of IT customers to firm service suggest to the Panel?

A. It suggests that the IT service is not priced at a level that incents customers to choose to remain on IT service as opposed to migrating to firm service.

Q. How did the Companies' design rates for IT service?

A. KEDNY proposed to consolidate its temperature controlled and IT SCs into a single classification with sales and transportation rates, SC No. 22, each with two tiers. KEDLI proposed to consolidate its temperature controlled and IT SCs into two classifications, SC No. 18 for sales and SC No. 19 for transportation, both of which would have two tiers. The Companies proposed that tier 1 customers be interrupted at 15 degrees Fahrenheit and tier 2 customers be interrupted at 20 degrees Fahrenheit. KEDNY and KEDLI proposed to set minimum charges of $375 and

$450, respectively, for both IT tiers. KEDNY proposed a tier 1 rate of $0.3174 and a tier two rate of $0.3015 or a five percent discount from the tier 1 rates. KEDLI proposed a tier 1 rate of $0.2907 and a tier 2 rate of $0.2762, or a five percent discount from the tier 1 rates.

Q. Does the Panel agree with the Companies' IT rate design proposals?

A. No. The Companies' present rates for IT customers have not created adequate incentives to prevent customers from migrating to firm SCs. The Companies' proposed rates provide similarly inadequate incentives. Additionally, the five percent discount for tier 2 as compared to tier 1 is inadequate to reflect the reduced level of service.

Q. At what levels does the Panel recommend setting the IT rates?

A. It is not possible to calculate the exact costs non-firm customers incur to take non-firm service. It is, therefore, difficult to determine the exact discount that should be established off of firm service. That being said, we recommend a 30 percent discount off of

the applicable firm total bill for Tier 1 and a 40 percent discount for Tier 2 customers.

Q. Why does the Panel recommend increasing the discount for IT service?

A. A larger discount should be provided to incent customers to remain on or convert to IT service.

Q. What is the Panel's recommended rate design for the new IT SCs?

A. We recommend that the Companies determine the resulting block rates for a 30 percent and 40 percent discount on the total bill of each IT SC compared to the applicable firm SC in rebuttal testimony. The IT rates may have to be further decreased when the Companies next seek new rates to increase the number of IT customers on the Companies system to increase system reliability.

Q. How did the Companies propose to price the IT sales customers' cost of gas?

A. The Companies proposed to use the current Temperature Controlled customer cost of gas calculation methodology to determine IT customers cost of gas. The IT commodity cost would be calculated by multiplying the weighted average cost of gas by the lost and unaccounted

for gas factor plus the non-firm demand charge.

Q. Should this process be modified?

A. Yes.

Q. Please explain.

A. The costs associated with non-firm gas purchases are included in the weighted average cost of gas for all firm sales customers. This pricing methodology includes portions of the gas supply portfolio, such as base load gas supplies and storage gas, that are planned far in advance to meet the reliability needs and on behalf of the firm sales customers that are unable to procure or plan for their own gas supply and capacity needs. Gas costs are reconciled to all firm customers. IT customers' usage is incremental load on the distribution system and there are time periods when the Companies pay incremental gas costs for IT sales customers. Therefore, we recommend that the IT customers be charged the incremental cost of gas to eliminate any subsidies by firm customers.

Interruptible Penalties

Q. What are IT penalties?

A. In order to ensure the reliability of the distribution networks, the Companies must have confidence that IT customers will not use natural gas under certain conditions. To that end, the Companies' tariffs include provisions requiring that IT and TC customers have access to an alternative fuel and penalizes those customers for the unauthorized use of natural gas.

Q. Were IT penalties discussed Cases 16-G-0058 and 16-G-0059, the most recent rate proceedings for the Companies?

A. Yes. The 2016 Rate Order required the Companies to complete a collaborative addressing IT customer issues and file a report with the Commission. The Companies filed the required report on September 17, 2018.

Q. What did the collaborative report propose with regard to the IT penalties for usage during an interruption?

A. The report, on page 11, proposed that the penalty should be the changed from the "higher of" to the "lower of" (1) two times the sum of the market gas price plus the applicable IT or

TC transportation rate; or (2) nine times the applicable IT sales rate.

Q. Did the Commission adopt the change to the penalty structure?

A. Yes, in the Order Approving Tariff Revisions and Directing Further Tariff Filings (February Order), issued on February 7, 2019 in Cases 16-G-0058 and 16-G-0059. The February Order explained that the purpose of the penalty is to ensure that non-firm customers do not choose to use gas during an interruption and pay the penalty, rather than use their alternative fuel when they have access to it. IT customers jeopardize system reliability if they do not interrupt service when required by the Companies. The Commission stated that the resulting penalty for the unauthorized use of gas has been significantly influenced by the spike in natural gas prices during very cold weather periods due to capacity constraints. Even when limited to the lesser of the two alternative calculations, the penalty will continue to provide a sufficient incentive to IT customers to cease using gas when required.

Q. Should the Companies closely monitor this change going forward?
A. Yes.
Q. Please explain.
A. According to the response to IR DPS-1000, there may be situations where the lower of the two penalties is insufficient, but this is highly dependent on market prices. We recommend that the Companies closely monitor any penalty charges to ensure that the charges provide an adequate deterrent to prevent natural gas usage during an interruption. Should any unusual behavior arise, the Companies should be required to consult with Staff about the need for additional changes to the penalty structure.

Natural Gas Vehicles

Q. What tariff changes did the Companies propose for SC No. 4A-CNG?
A. The Companies proposed to add an interruptible option for new NGV customers under the SC No. 4A-CNG class. The Companies stated that new NGV customers are more likely to be able to change their fueling profiles during peak demand

periods. Additionally, the Companies proposed to install automatic shut-off equipment and interrupt service to these customers as the Companies will for other IT customers.

Q. Does the Panel agree with the Companies' NGV proposal?

A. Yes. We agree with the proposal, if customers are only interrupted for peak periods during a day and the customers can change their fueling profiles for several days at a time. The addition of interruptible NGV customers would benefit the entire system as they would increase revenue while reducing peak requirements for firm customers.

Bill Impacts

Q. Have you calculated the impacts of your recommended rate design on customer's bills?

A. Yes. The bill impacts of our rate design on customer bills are included in Exhibit___(SRP-7). The typical KEDNY residential heating customer annual bill impact is $10.39 or 0.6 percent. The typical KEDLI residential heating customer annual bill impact is a reduction of

$79.36 or 4.6 percent.

Revenue Decoupling Mechanism

Q. Did the Companies propose to modify their RDMs?

A. Yes. The Companies proposed to: (1) change the revenue per customer mechanism for SC No. 1B to a revenue per class mechanism; (2) eliminate the RDM's incremental growth incentives in for SCs No. 2 and No. 3; (3) Include SC No. 1A in the RDM; and (4) change the RDM reconciliation time period from a calendar year to the Companies' fiscal year, which aligns with the Rate Year, April 1 to March 31 of the subsequent year.

Q. Does the Panel agree with the Companies' RDM proposals?

A. Yes. We agree with Companies' proposals. We do, however, recommend that the RDM targets be updated based on the revenue and customer counts approved by the Commission in these proceedings.

Lost And Unaccounted For Gas

Q. What is lost and unaccounted for (LAUF) gas?

A. LAUF gas refers to the disparity between the amount of gas metered into a local distribution

company's (LDC) system and the amount of gas billed for, and metered out of, the LDC's system.

Q. What is the LAUF incentive mechanism?

A. The LAUF incentive mechanism holds LDCs accountable for LAUF gas. Before a LAUF incentive mechanism was established, LDCs were permitted full recovery of gas commodity expenses, regardless of the disparity between the amount of gas metered into the LDC's system and the amount of gas metered out of the LDC's system. The LAUF incentive mechanism limits the amount of gas expense that LDCs can recover as an incentive to control losses.

Q. Did the Companies propose changes to their LAUF incentive mechanisms?

A. Yes. The Companies proposed four changes: (1) update the fixed LAUF targets and associated dead-bands; (2) have the new LAUF targets become effective beginning the new GAC cycle, or September 1, 2020; (3) remove the inactive accounts adjustment; and, (4) modify the calculation to gross up gas costs for LAUF gas.

Q. Please explain the proposed change to the LAUF

targets and associated dead-bands.

A. KEDNY and KEDLI proposed to use the actual experience over the last five GAC periods ending August 31, 2018 to set their LAUF targets. The Companies stated that the methodology is consistent with the Staff Whitepaper on LAUF Gas, a copy of which is provided in our Exhibit___(SRP-8). KEDNY proposed a LAUF target of 2.432 percent with a standard deviation of plus or minus 0.540 percent. KEDNY proposed dead-bands, of plus or minus two standard deviations from the LAUF target, of 3.512 percent and 1.353 percent for the upper and lower dead-bands, respectively. KEDLI proposed a LAUF target of 3.218 percent with a standard deviation of plus or minus 1.166 percent. KEDLI also proposed dead-bands, of plus or minus two standard deviations from the LAUF target, of 5.550 percent and 0.886 percent for the upper and lower dead-bands, respectively.

Q. Does the Panel agree with the proposed LAUF targets and associated dead-bands?

A. We agree with KEDNY’s proposed LAUF target, disagree with KEDLI’s proposed LAUF target, and

disagree with both Companies' proposed dead-bands.

Q. Explain why the Panel disagrees with KEDLI's LAUF target.

A. We do not agree with KEDLI's proposed LAUF target because we believe the actual LAUF in 2014 is a significant outlier, and should be excluded from the calculation of the new LAUF target. As shown in Exhibit ___(SRP-9) on page 5, the actual LAUF was 4.933 percent in 2014 which was 2.284 percentage points higher than the average LAUF gas percentage between GAC years 2012 through 2018 excluding GAC year 2014. Indeed, Staff proposed the same adjustment in Case 16-G-0058.

Q. What is the impact of removing 2014 from the calculation of the new LAUF target?

A. The removal of 2014 from the data set changes KEDLI's LAUF target from 3.218 percent to 2.790 percent.

Q. Explain why the Panel disagrees with the method the Companies used to establish the dead-bands.

A. As shown in Exhibit__(SRP-8), page 27, Staff's LAUF White Paper states if the calculation of

the standard deviations from the LAUF target exceeds 0.5 percent, the standard deviation used to set the dead-bands should be limited to 0.5 percent. As stated above, KEDNY's and KEDLI's proposed standard deviations are greater than 0.5 percent.

Q. What does the Panel recommend the limits of the dead-band be?

A. We recommend using the methodology set forth in the Staff Whitepaper, adjusted for KEDLI to remove 2014, with a standard deviation limit of 0.5 percent.

Q. What LAUF targets and upper and lower dead-bands does the Panel recommend?

A. For KEDNY we recommend a 2.426 percent LAUF target, an upper band of 3.426 percent and a lower band of 1.426 percent. For KEDLI we recommend a 2.790 percent LAUF target, an upper dead-band of 3.790 percent and a lower dead-band of 1.790 percent, as shown in Exhibit___(SRP-9).

Q. Why did the Companies propose to adjust their LAUF targets at the start of the GAC year?

A. The Companies proposed to eliminate the LAUF target proration that would occur in the GAC

reconciliation if the new LAUF targets were to be implemented at the beginning of the Rate Year.

Q. Does the Panel agree with this proposal?

A. Yes, we agree that the new LAUF targets should be reset September 1, 2020, on the new GAC cycle.

Q. What are inactive accounts?

A. For the purposes of our discussion of LAUF gas, inactive accounts are metered accounts greater than 90 days that are not associated with an active customer account.

Q. Does the LAUF calculation for KEDNY and KEDLI currently incorporate an adjustment for inactive accounts?

A. Yes.

Q. Please explain.

A. The 2016 Rate Order implemented an adjustment beginning September 1, 2017. The Companies were to remove from the LAUF calculation an estimate of gas usage associated with meters that have been “inactive” for more than 90 days. To estimate usage, the Companies were to develop usage proxies that were to be applied to meters

that were inactive 90 days or more during each GAC period. To determine the proxies, the Companies were to calculate a monthly class-average use on inactive meters that continue to report consumption during the GAC year. The applicable historic reference proxy were to be applied to each meter that is inactive 90 days or more to determine the amount of gas to be excluded from the LAUF calculation.

Q. In these proceedings, how did the Companies' propose to treat inactive accounts in the LAUF calculation?

A. The Companies proposed to remove inactive accounts from the LAUF calculation.

Q. Does the Panel agree with the Companies' proposal?

A. No. We recommend continuing an inactive accounts adjustment, however the current method should be revised.

Q. Why should the inactive accounts adjustment be continued?

A. This adjustment provides an additional incentive for the Companies to take action and lock meters for inactive accounts in an expeditious manner.

Q. Why should the inactive accounts adjustment be modified?

A. The result of the current calculation is not appropriately incentivizing the Companies to lock meters.

Q. Please explain.

A. The Companies recover their actual LAUF gas if their actual LAUF is within the upper and lower dead-bands. The inactive account adjustment is a relatively small adjustment, which generally doesn't push the actual LAUF results above the upper dead-band.

Q. How does the Panel recommend revising this adjustment?

A. We recommend continuing to estimate the volume of gas associated with inactive accounts using the Companies' current methodology. However, in lieu of making a volumetric adjustment to the LAUF incentive, we recommend the Companies reduce their revenues in the GAC reconciliation by the inactive account adjustment, which should be calculated by multiplying the volumes associated with inactive accounts by the weighted average cost of gas. For an example of

this calculation, using hypothetical numbers, please see Exhibit___(SRP-10).

Q. Why are gas costs adjusted by the factor of adjustment?

A. The Companies' monthly cost of gas are adjusted by the factor of adjustment to collect a return for LAUF gas.

Q. How do the Companies currently calculate their factors of adjustment?

A. The Companies currently calculate their factors of adjustment as one plus the LAUF percentage.

Q. Did the Companies propose to change their factors of adjustment used to gross up gas costs for LAUF gas?

A. Yes, the Companies proposed changing the calculation to 1.0 divided by 1.0 minus the LAUF percentage to more appropriately reflect distribution line losses in their GAC statements.

Q. Does the Panel agree with the changes to the calculation of the factor of adjustment?

A. Yes, this change is consistent with recommendations contained in Staff's LAUF White Paper.

Earning Adjustment Mechanism

Q. Provide a description of the earnings adjustment mechanisms (EAMs).

A. EAMs are a way for the Companies to help achieve the State's clean energy goals and Commission's REV objectives. A more detailed description of the EAM can be found in the testimony of the Staff EAM Panel.

Q. What did the Companies propose in terms of recovering incentives from customers?

A. The Companies proposed to recover the earned EAM incentives beginning in 2020 and to recover the earned incentives to firm sales and firm transportation customers through the Delivery Rate Adjustment surcharge (DRA). The earned incentives would be recovered based on the SCs' contribution to peak send out and would be collected on a per-therm basis.

Q. Does the Panel agree with Companies' allocation and recovery method?

A. Yes.

System Benefits Charge

Q. What is the system benefits charge (SBC)?

A. The SBC allows the Companies to recover costs associated with clean energy activities implemented by the New York State Energy Research and Development Authority (NYSERDA) and the Company's energy efficiency programs. The SBC consists of two surcharges: the Clean Energy Fund surcharge, which collects funds for the NYSERDA-run clean energy programs, and the Energy Efficiency Tracker Surcharge, which recovers the Energy Efficiency Transition Implementation Plan (ETIP) costs.

Q. Did the Companies propose changes to their SBCs?

A. Yes, the Companies proposed three changes. The Companies proposed to recover ETIP costs in base rates so that the SBC would only include the costs associated with Clean Energy Fund. The Companies proposed that ETIP costs be recovered from the following baseload distributed generation and non-firm demand response classes: Nos. 21, 17-21, 22, and 18-22 for KEDNY and SC Nos. 17, 5-17, 18, and 19 for KEDLI. The Companies also proposed to include any over or

under recovery of ETIP costs in the RDM reconciliations for SC Nos. 1A, 1B, 2, and 3 for both KEDNY and KEDLI. The Companies would reconcile actual ETIP revenues from all other service classifications that pay for the ETIP to the amounts included in rates over the term of the rate plan. Any differences would be refunded or recovered through the DRA, including carrying charges at pre-tax WACC, after the end of the rate plan and would be set forth on the Statement of Energy Efficiency Program Costs.

Q. Does the Panel agree with the Companies' proposal to move the ETIP into base rates?

A. Yes.

Q. Does the Panel agree with the Companies' proposals?

A. Partially. We agree with the Companies' proposal that the ETIP be rolled into base rates and recovered through the DRA. We agree that ETIP costs can be recovered from the baseload distributed generation service classes as long as the bill impacts are reasonable. However, we did not allocate part of the ETIP budget to baseload distributed generation and non-firm

demand response customers and recommend that the Companies propose an equitable allocation in their rebuttal testimony.

New York Facilities System Surcharge

Q. What is the New York Facilities System (NYFS)?

A. The NYFS is a gas transmission system connecting the service territories of KEDNY, KEDLI and Consolidated Edison Company of New York, Inc. that provides service to the New York metropolitan area. The costs associated with the system are allocated to each utility pursuant to the NYFS Agreement. KEDNY and KEDLI forecast NYFS-related costs in their revenue requirements, and reconcile and recover those targets to their actual NYFS-related costs through the NY Facilities System Surcharge.

Q. What did the Companies propose?

A. The Companies proposed to change the timing of their reconciliations. Currently the Companies reconcile NYFS-related costs on a calendar year basis, with updates to the NY Facilities System Surcharge effective each April 1st. The Companies proposed to reconcile the costs on a

fiscal year basis, which aligns with the Companies' proposed Rate Year. Under this proposal, the revised surcharge would be effective each July 1st. The stub period – January to March 2020 – would be included in the reconciliation for the Rate Year.

Q. Does the Panel agree with the Companies' proposal?

A. Yes. The change in timing would align the reconciliation with the costs included in the Rate Year.

Gas Safety and Reliability Surcharge

Q. What is the Gas Safety and Reliability Surcharge (GSRS)?

A. The GSRS is a surcharge that allows the Companies to recover specified costs from customers.

Q. What did the Companies propose regarding the GSRS?

A. As discussed by the Companies' Gas Infrastructure and Operations Panel and Exhibit___(GIOP-3), KEDNY and KEDLI proposed to modify the current GSRS to include: (i) unit

cost productivity incentives; (ii) costs for incremental proactive leak prone pipe replacement and Type 3 leak repairs; and (iii) incentives earned for leak repairs and leak prone pipe replacement. In addition, as explained in the Companies' testimonies, if the requirements associated with the new professional engineering certification and operator qualification requirements are finalized after rates are set in this proceeding, the Companies proposed to recover those costs through the GSRS.

Q. What does the Panel recommend?

A. The Staff Policy Panel recommends eliminating the leak prone pipe mileage incentive and, therefore, this component should be removed from the GSRS. The Staff Policy Panel also recommends adding a new incentive to complete specific capital investments under budget, and this incentive should be added to the GSRS. Additionally, we also recommend rejecting the Companies' proposal to recover costs associated with the new professional engineering certification and operator qualification

requirements through the GSRS.

Q. Please explain.

A. The timing and costs associated with the new professional engineering certification and operator qualification requirements are unknown. To the extent the Commission does not address cost recovery for these potential new requirements in that separate proceeding, the Companies should be encouraged to manage and control its costs in a one year rate plan.

Tariff Fees

Q. Did the Companies propose to change any tariff fees?

A. Yes, on pages 68 and 66 of KEDNY's and KEDLI's pre-filed Rate Design Panel direct testimonies, respectively, the Companies proposed to update their unproductive field visit fee and reconnection/re-establishment fees.

Q. How did the Companies propose to update the unproductive field visit fee?

A. Both Companies proposed to decrease their unproductive field visit fees. KEDNY proposed to decrease its fee from $38.60 to $31.74 and

KEDLI proposed to decrease its fees from $59.47 to $47.14.

Q. How did the Companies propose to change their reconnection/re-establishment fees?

A. KEDNY proposed to decrease its fee for reconnection at the meter from $66.13 to $53.89, and increase its fee for reconnection at the main in a street from $300 to $500. KEDLI proposed to decrease its re-establishment charge from $78.00 to $74.39.

Q. Does the Panel agree with the Companies' proposed tariff fee changes?

A. Yes, because the proposed rates are based on actual costs.

Tariff Provisions

Q. Did the Companies propose any updates to their respective tariffs?

A. Yes. KEDNY and KEDLI proposed updates listed in the response to IR UIU-1.

Q. Does the Panel recommend any changes to the Companies' tariff?

A. Yes, we recommend that the Companies' modify their tariffs based on Staff's recommendations

set forth throughout Staff's testimony.

Q. Does the Panel have any further recommendations regarding the Companies' tariffs?

A. Yes. We recommend that the Companies (1) continue to streamline their tariffs, (2) perform a study to ensure that customers are in the correct SC, and (3) propose a draft DRA statement that includes each element in the surcharge.

Q. Please explain why the Panel recommended that the Companies streamline their tariffs.

A. The streamlining should provide administrative benefits to the Companies, Niagara Mohawk Power Corporation d/b/a National Grid, and Staff. It can also provide greater transparency for customers.

Q. How does the Panel recommend that the Companies streamline their tariffs?

A. To this end, we recommend that the Commission require the Companies to submit a study within six months after the Commission sets new rates in these proceedings. The study should identify ways in which KEDNY, KEDLI and Niagara Mohawk Power Corporation d/b/a National Grid, can

harmonize their tariffs.

Q. Why should the Companies perform a study to ensure customers are in the correct SC?

A. The average annual usage for KEDNY SC No. 1B in KEDNY Exhibit___(RDP-4CU) is 1,000 therms. According to the response to IR DPS-960, the 20 highest use KEDNY customers in 2018 range from 55,539 therms to 259,436 therms annual usage. The 20 highest use customers in SC No. 1 have usages that are significantly higher than the average. Therefore, we are concerned that the customers may not be in correct class.

Q. Should the Companies create DRA statements?

A. Yes. Currently, the Companies do not have a DRA statement so customers would have to read the Companies' tariffs to determine what is included in the DRA surcharge on their bills. We recommend that the Companies propose a draft DRA statement in their rebuttal testimony so customers can easily find out what is included in the DRA surcharge.

Q. Does this conclude your testimony at this time?

A. Yes.